

capital, even the parts that seem immutable, by bringing other people into the family, either by marriage or adoption. More on that in the next chapter.)

Whatever raw material you find yourself with, you can generally improve it. How? Well, there are probably no secrets to this part of Old Money success. But the more you encourage, nurture, subsidize, and insist upon the characteristics you want in your family, the more likely you are to have them.

The most obvious example is education. If you want your family members to be capable of managing and preserving money, you need to make sure they have the training to do so. We are not naïve enough to think that this is as simple a matter as it appears. You might think: Oh, that's easy; we'll send our boy to college and make him take courses in economics and finance.

Yes, maybe that would do the trick. And maybe it wouldn't. Much of modern education is a sham. Much of what college professors believe about economics is wrongheaded. And much of what is taught in finance courses is theoretical, abstract, and mostly useless—if not downright dangerous. More than one family business has been ruined by a business school graduate who decides to apply the lessons he learned in school!

The best education is experience. Direct. Immediate. Real. As Nietzsche once explained, there are two kinds of knowledge. The first is what you might learn in school or from reading the newspapers. The second is what you learn by actual experience. The first is useful, stimulating, interesting. But the second is much more reliable for business and investment purposes.

It is a bit like the difference between knowing that the number of old people in America is increasing rapidly and having the real experience of running an old folks home. The first might give you a clue about where to look for business and investment opportunities, but the second is much more likely to help you find one.

Whenever possible, you want to enhance your family's human capital by bringing individual family members more fully into the picture. Children should be encouraged to participate in business and investment decisions, and challenged to analyze problems in a clearheaded, thoughtful way. It is not enough to come back from business school and tell the family how to